Paradiem

The Morning Brief

OCTOBER 17, 2026

Chip Streak

Weekend Edition — the Nasdaq's reported worst week since June as the chip sleeve extends an eight-day decline and AI infrastructure credit stress widens.

S&P 500 (FRI CLOSE)	NASDAQ (FRI CLOSE)	DOW (FRI CLOSE)	BITCOIN (IBIT FRI)	FEAR & GREED
$763.25 · ↓1.9% on the week	$709.80 · ↓4.5% on the week	$519.10 · ↑0.7% on the week	$46.15 · ↓0.94% session	55 · Crypto fallback (CNN stock reading unavailable)

SECTION 01

Markets — Week in Review

THE AI CREDIT SCARE, THE CHIP SLEEVE'S REPORTED EIGHT-DAY DECLINE, AND THE NASDAQ'S REPORTED WORST WEEK SINCE JUNE

The week resolved as a reset in AI infrastructure and the semiconductor sleeve. Per secondary coverage from AP and Bloomberg, the Nasdaq Composite closed down approximately 4.5% on the week, the S&P 500 down approximately 1.9%, and the Dow up approximately 0.7%; the Philadelphia Semiconductor Index posted an eight-session losing streak that Bloomberg coverage framed as the longest since 2008. The CoreWeave bond stress rippled through neocloud and AI-linked industrial names, with reported credit-default-swap spreads widening above 1,000 basis points at midweek and the April 2031 notes trading at yields near 15% per Reuters and Barron's coverage before a partial Thursday rebound. Energy stood out as the week's offsetting sleeve on reported sustained Mideast supply risks.

S&P 500 (SPY)	$763.25 · ↓1.9% on the week
NASDAQ (QQQ)	$709.80 · ↓4.5% on the week (reported worst since June)
DOW (DIA)	$519.10 · ↑0.7% on the week
UVXY (VOL PROXY, FRI)	$18.50 ↑12.39% session
TLT (20Y BOND, FRI)	$80.05 · Treasury bid alongside risk-off rotation
WTI (USO) / BRENT (BNO), FRI	$161.76 ↑2.83% / $67.19 ↑3.59%
GOLD (GLD) / SILVER (SLV), FRI	$382.01 ↓0.18% / $51.51 ↓0.79%
IBIT / ETHA (FRI CLOSE)	$46.15 ↓0.94% / $54.51 ↓1.62%
SECTOR LEADERS (FRI)	XLE ↑2.52% · XLU ↑1.34% · XLP ↑1.08%
SECTOR LAGGARDS (FRI)	XLK ↓3.02% · XLC ↓1.89% · XLY ↓0.84%
OCT 27–28 FOMC PRICING	Near coin-flip · approximately 47% hike / 53% no change per secondary coverage
CARSON'S ACTIVE SPY SUPPORT	$645.80 retracement target · Untouched (Fri low $760.64)

HOT SEPTEMBER CPI, A REPORTEDLY DOVISH WILLIAMS, AND FED PRICING NEAR A COIN FLIP INTO THE OCTOBER 27–28 MEETING

September CPI printed hot midweek per Reuters coverage carried in prior briefs, placing a near-term Fed hike back on the table. NY Fed President Williams reportedly followed with remarks framing policy as having moved from modestly restrictive toward neutral, with one additional hike potentially appropriate this year and no clear case for 2027 hikes per secondary coverage. Fed funds futures reportedly pared the October-hike probability to near a coin flip, with secondary coverage reportedly placing it near 47%. Treasuries caught a bid with TLT closing Friday at $80.05 (↑0.10%) and UVXY reportedly expanding ↑12.39%, consistent with the duration-and-volatility bid alongside risk-off equity rotation.

A week that paired an AI credit scare with a hot inflation print and a late-week volatility expansion frames the committee's view that research reveals opportunities and think like an owner serve better than a single-session directional bet into the October 27–28 FOMC window. **Avoid erosion.**

SECTION 02

Geopolitics — Reported Missile Activity in Aden and Toward Yanbu, a US Strategic Petroleum Reserve Exchange Signal, Trump Reportedly Waives Russia-Related Sanctions Before Their Effective Date, and the West Bank Olive-Harvest Flashpoint

THE MIDEAST RISK LAYER REPORTEDLY EXTENDED ON MULTIPLE FRONTS INTO THE WEEKEND. PER DATA DROP HEADLINES, REUTERS COVERAGE FRAMED MISSILES AS REPORTEDLY HITTING ADEN AIRPORT IN YEMEN AND A SAUDI-LED COALITION AS REPORTEDLY INTERCEPTING A MISSILE HEADED FOR YANBU — A TWO-TRACK ESCALATION ALONG THE RED SEA SHIPPING CORRIDOR AND THE SAUDI-COAST ENERGY-INFRASTRUCTURE CHANNEL. A SEPARATE REUTERS PIECE REPORTEDLY FRAMED THE US AS REPORTEDLY SOLICITING AN EXCHANGE OF UP TO 17 MILLION BARRELS OF OIL FROM THE STRATEGIC PETROLEUM RESERVE — THE FIRST SPR-EXCHANGE REFERENCE CARRIED IN THESE BRIEFS AND A NOTABLE INVENTORY-MANAGEMENT SIGNAL THAT READS AGAINST THE WEEK'S CRUDE BID

Per data drop headlines, Reuters coverage framed the reported Aden airport strike and the Yanbu missile intercept — a two-track Red Sea and Saudi-energy-infrastructure escalation that reads against the week's crude bid. The composition compounds the ongoing Iran-and-Hormuz access-and-interdiction channel tracked in prior briefs. The SPR-exchange solicitation represents a notable inventory-management signal; a 17 million-barrel exchange is a tactical rather than strategic operation, but the signal reads as a reported counter-measure to the broader supply risk layer. Per data drop headlines, Reuters reportedly framed President Trump as reportedly waiving key Russia-related sanctions and tariffs before they take effect under a new law — a reported policy-and-enforcement signal reading alongside the broader US-Russia-and-Ukraine channel; a separate Reuters piece reportedly framed Trump's reported move to restart direct US flights with Lebanon as reportedly hitting a roadblock, a Levant-diplomacy signal reading alongside the ongoing Rubio-Hezbollah-explosives interdiction channel tracked in prior briefs. Per data drop headlines, Reuters reportedly framed Israeli settlers as reportedly attacking Palestinians during the West Bank olive harvest — a reported civilian-and-territorial flashpoint reading against the broader Levant stability layer. For FCI positioning, the energy-and-defense complex (CVX, OKE, CNX, FCX, LMT, GD) stands to benefit in a scenario where the SPR-exchange signal and the Red Sea/Yanbu escalation sustain the Mideast risk premium into the week ahead; the sleeve was the Friday session's notable area of relative strength against the broader tape weakness.

SECTION 03

On Our Radar

1. Week Ahead — Netflix Q3 (Tue AMC per IR), Tesla Q3 (Wed AMC per IR), the October 27–28 FOMC, and FCI Holding Lockheed Martin (LMT) Reportedly Due October 22. Per third-party calendar coverage, next week's cadence reportedly includes General Electric Aerospace, Elevance Health, Halliburton, Coca-Cola, and FCI holding Lockheed Martin (LMT, reportedly due October 22). Netflix (NFLX) is reportedly scheduled to report Q3 after Tuesday's close with reported consensus near $5.72 EPS per Hudson Labs coverage; Tesla (TSLA) is reportedly scheduled after Wednesday's close per Tesla investor-relations coverage. The week carries the primary catalyst risk into the October 27–28 FOMC window where market pricing reportedly sits near a coin flip. For FCI positioning, LMT's reported October 22 release reads through the defense-sleeve bid alongside the broader geopolitical risk layer, with secondary coverage per data drop holdings news framing an $88 billion missile backlog.

2. The Chip Sleeve's Reported Eight-Day Decline, AI Infrastructure Credit Stress, and the CoreWeave Spillover Into FCI Growth-Sleeve Names. Per secondary coverage carried in data drop headlines, the Philadelphia Semiconductor Index reportedly posted an eight-session losing streak reportedly framed as the longest since 2008. Per Reuters and Barron's coverage, CoreWeave's April 2031 notes reportedly traded at yields near 15% midweek before a partial Thursday rebound; credit-default-swap spreads reportedly widened above 1,000 basis points, consistent with distressed credit. The stress rippled into the FCI growth-sleeve Bitcoin-miner-and-power complex (HUT, MARA) and the broader AI-and-interconnect sleeve (AMD, MRVL, LRCX, CRDO, NVDA, TSM, NXPI, QCOM, KEYS, ADI, FTNT). Per data drop holdings news, Cantor reportedly framed WULF, HUT, and CORZ as generational buys amid price-target cuts across the sector — a reported counter-signal within the drawdown. The committee should watch whether CoreWeave bond spreads continue to tighten from distressed levels and whether, if a ninth consecutive weak chip session materializes Monday, the pattern reads as structural rather than tactical into the October FOMC window.

3. Weekend Developments — Houthi Red Sea Escalation and the US SPR Exchange Signal. Per data drop headlines, Reuters reportedly framed Friday's reported Aden airport strike and the Saudi-led coalition's reported Yanbu missile intercept — the first explicit Red Sea/Saudi-coast strike reference since the Qatar Airways disruption series tracked earlier this month. Per data drop headlines, Reuters reportedly framed the US as reportedly soliciting an exchange of up to 17 million barrels of oil from the Strategic Petroleum Reserve — the first SPR-exchange reference in these briefs and a notable inventory-management signal reading alongside the Mideast supply risk premium. The reported SPR-exchange structure (exchange rather than release) suggests a tactical rather than strategic draw. For FCI positioning, the composition keeps the energy-and-defense complex (CVX, OKE, CNX, FCX, LMT, GD) reading through Monday's open as the committee tracks whether the Red Sea/Saudi-coast escalation extends and whether the SPR solicitation suggests broader supply-management action.

4. Carson's Levels. Per levels.json, Carson's active SPY retracement target at $645.80 (set April 13, 2026) remains in the "active" column with no hit date and no hit price recorded; Friday's intraday range of $760.64–$773.25 did not approach any active Carson level. SPY would need to decline approximately 15.4% from Friday's close (or approximately 15.1% from Friday's intraday low) to reach the target — a gap roughly consistent with the FCI first-tranche deployment reference at approximately –25% from peak. The April 2026 resistance zones at $683.70, $685.85, and the $691.90–$693.20 band remain in the "hit" column and have been cleared to the upside; no new active Carson level has been set since the April 14, 2026 major-resistance-zone hits. The committee should read Carson's level as the reference for a sustained drawdown rather than any single-session move. The FCI buy-and-hold tranche framework deploys 70% of reserves at approximately –25% from peak and the remainder at approximately –40%, with no trimming on either side.

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